

PJSC “Polyus”

**Published interim condensed
consolidated financial statements**

*for the six months ended
30 June 2025 (unaudited)*

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED)

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PJSC “POLYUS”

MANAGEMENT RESPONSIBILITY STATEMENT FOR THE PREPARATION AND APPROVAL OF THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED)

Management of PJSC “Polyus” (“Company”) and its subsidiaries (“group”) is responsible for the preparation of the published interim condensed consolidated financial statements in accordance with the basis of preparation described in Note 2.2 to the published interim condensed consolidated financial statements.

In preparing the published interim condensed consolidated financial statements, Management is responsible for:

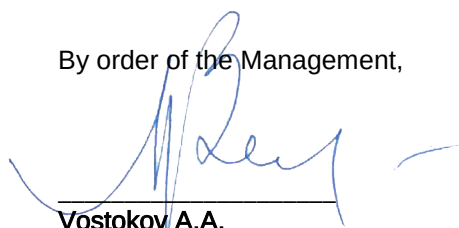
- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner consistent with the basis of preparation described in more detail in Note 2.2, which does not lead to imposition of additional sanctions by foreign states, national unions and (or) associates, state-owned (interstate) institutions of foreign states or of national unions and (or) associates targeting the group and (or) other persons;
- making an assessment of the group’s ability to continue as a going concern.

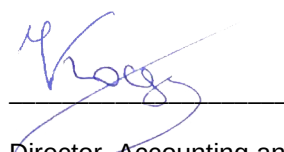
Management is also responsible for:

- designing, implementing and maintaining an effective and sound system of internal controls, throughout the group;
- maintaining adequate accounting records that are sufficient to show and explain the group’s transactions and disclose with reasonable accuracy at any time the published interim condensed consolidated financial position of the group, and which enable them to ensure that the published consolidated financial statements of the group comply with the basis of preparation described in Note 2.2 to the published interim condensed consolidated financial statements;
- maintaining statutory accounting records in compliance with legislation and accounting standards in the jurisdictions in which the group operates;
- taking such steps as are reasonably available to them to safeguard the assets of the group; and
- preventing and detecting fraud and other irregularities.

The published interim condensed consolidated financial statements of the group for the six months ended 30 June 2025 were approved by Management on 27 August 2025.

By order of the Management,



Vostokov A.A.
Chief Executive Officer

Director, Accounting and financial reporting
under the power of attorney
#165/Д-ПЗ/25 dated 10/02/2025

Moscow, Russia
27 August 2025

REPORT ON REVIEW OF PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

To the Shareholders and the Board of Directors of Public Joint Stock Company “Polyus”:

Introduction

We have reviewed the accompanying published interim condensed consolidated statement of financial position of PJSC “Polyus” and its subsidiaries (the “group”) as of 30 June 2025, and the related published interim condensed consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the six months then ended, and selected explanatory notes. Management is responsible for the preparation and presentation of these published interim condensed consolidated financial statements in accordance with the basis of preparation described in Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements. Our responsibility is to express a conclusion on these published interim condensed consolidated financial statements based on our review.

Scope of Review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying published interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with the basis of preparation disclosed in Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements.

Emphasis of Matter – Basis of Preparation and Restriction on Use

We draw attention to Note 2.2 *Basis of preparation of published interim condensed consolidated financial statements* to the published interim condensed consolidated financial statements, which describes the basis of preparation. The purpose of published interim condensed consolidated financial statements is to comply with the requirements for the publication of the group's interim consolidated financial results established within the framework of the requirements of Federal Law № 208 "On Joint-Stock Companies" dated 26 December 1995 as well as taking into account the recommendations set out in Decree of the Government of the Russian Federation №1102 dated 4 July 2023 "On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law "On Joint Stock Companies" and the Federal Law "On the Securities Market" regarding restrictions on the level of financial information disclosure in such a way that the information presented in the accompanying published interim condensed consolidated financial statements could not lead to imposition of additional sanctions by foreign states, national unions, associates and state-owned (interstate) institutions targeting the Group and (or) other persons. As a result, the published condensed interim consolidated financial statements do not comply with International Financial Reporting Standards ("IFRSs") and do not comply with International Accounting Standard 34, "*Interim Financial Reporting*" ("IAS 34") and may not be suitable for another purpose. Our conclusion is not modified in respect of this matter.

Ilya Ryabtsev
Engagement partner

AO "Business Solutions and Technologies"
(ORNZ № 12006020384)

Moscow, Russia
27 August 2025



PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

		Six months ended 30 June	
	Notes	2025	2024
Continuing operations			
Gold sales	5	3,581	2,684
Other sales		107	49
Total revenue		3,688	2,733
Cost of gold sales	6	(985)	(721)
Cost of other sales		(92)	(45)
Total cost		(1,077)	(766)
Gross profit		2,611	1,967
Selling, general and administrative expenses	7	(255)	(176)
Other expenses	8	(146)	(37)
Operating profit		2,210	1,754
Finance costs	9	(397)	(304)
Interest income		105	70
Gain on revaluation of derivative financial instruments and investments	10	217	99
Foreign exchange gain		552	203
Profit from continuing operations before income tax		2,687	1,822
Income tax expense	11	(669)	(372)
Profit from continuing operations		2,018	1,450
Discontinued operations			
Profit from discontinued operations		-	133
Profit for the period		2,018	1,583
Profit / (loss) for the period attributable to:			
Shareholders of the Company		2,018	1,585
Non-controlling interests		-	(2)
		2,018	1,583
Weighted average number of ordinary shares '000			
- for basic earnings per share	16	949,217	947,013
- for diluted earnings per share	16	951,988	950,015
Earnings per share from continuing and discontinued operations (US Dollar per share)			
- basic		2.13	1.67
- diluted		2.12	1.67
Earnings per share from continuing operations (US Dollar per share)			
- basic		2.13	1.53
- diluted		2.12	1.53

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED)

(in millions of US Dollars)

	Six months ended 30 June	
	2025	2024
Profit for the period	2,018	1,583
Other comprehensive income for the period		
<i>Items that may be subsequently reclassified to profit or loss:</i>		
Effect of translation to presentation currency	495	24
Other comprehensive income for the period	495	24
Total comprehensive income for the period	2,513	1,607
Total comprehensive income / (loss) for the period attributable to:		
Shareholders of the Company	2,513	1,609
Non-controlling interests	-	(2)
	2,513	1,607

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

	Notes	30 Jun. 2025	31 Dec. 2024
Assets			
Non-current assets			
Intangible assets		112	87
Property, plant and equipment	12	7,572	5,111
Inventories	13	1,562	1,163
Deferred tax assets		83	40
Derivative financial instruments and investments	18	3	29
Other receivables and non-current assets		85	77
		9,417	6,507
Current assets			
Inventories	13	1,177	781
Deferred expenditure		8	5
Derivative financial instruments and investments	18	33	63
Advances paid to suppliers and prepaid expenses	14	149	115
Trade and other receivables	14	384	1,178
Taxes receivable	14	201	163
Income tax prepaid		23	8
Bank deposits	15	1,123	932
Cash and cash equivalents	15	2,319	1,577
		5,417	4,822
Total assets		14,834	11,329
Equity and liabilities			
Capital and reserves			
Share capital	16	5	5
Additional paid-in capital	16	2,387	2,363
Treasury shares	16	(6,446)	(6,446)
Translation reserve		(3,861)	(4,356)
Other reserves		9	9
Retained earnings		10,866	9,673
Equity attributable to shareholders of the Company		2,960	1,248
Non-controlling interests		1	1
		2,961	1,249
Non-current liabilities			
Borrowings	17	9,784	8,537
Derivative financial instruments	18	14	51
Deferred tax liabilities		955	352
Site restoration, decommissioning and environmental obligations		101	75
Other non-current liabilities		41	27
		10,895	9,042
Current liabilities			
Borrowings	17	126	116
Derivative financial instruments	18	-	51
Trade and other payables	19	690	526
Taxes other than income tax payable	19	154	126
Income tax payable		8	219
		978	1,038
Total liabilities		11,873	10,080
Total equity and liabilities		14,834	11,329

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PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED)

(in millions of US Dollars)

Notes	Equity attributable to shareholders of the Company							Non-controlling interests	Total
	Share capital	Additional paid-in capital	Treasury shares	Other reserves	Translation reserve	Retained earnings	Total		
Balance at 31 December 2023	5	2,377	(6,493)	7	(4,124)	7,594	(634)	7	(627)
Profit / (loss) for the period	-	-	-	-	-	1,585	1,585	(2)	1,583
Other comprehensive income	-	-	-	-	24	-	24	-	24
Total comprehensive income / (loss)	-	-	-	-	24	1,585	1,609	(2)	1,607
Equity-settled share-based compensation (LTIP), net of tax	-	14	-	-	-	-	14	-	14
Shares awarded under LTIP	-	(22)	18	-	-	(8)	(12)	-	(12)
Increase of ownership in subsidiaries	-	-	-	-	-	-	-	(3)	(3)
Decrease of ownership in subsidiaries	-	-	-	-	-	28	28	-	28
Other	-	-	-	-	-	-	-	3	3
Balance at 30 June 2024	5	2,369	(6,475)	7	(4,100)	9,199	1,005	5	1,010
Balance at 31 December 2024	5	2,363	(6,446)	9	(4,356)	9,673	1,248	1	1,249
Profit for the period	-	-	-	-	-	2,018	2,018	-	2,018
Other comprehensive income	-	-	-	-	495	-	495	-	495
Total comprehensive income / (loss)	-	-	-	-	495	2,018	2,513	-	2,513
Equity-settled share-based compensation (LTIP), net of tax	-	24	-	-	-	-	24	-	24
Dividends declared to shareholders of the Company	-	-	-	-	-	(825)	(825)	-	(825)
Balance at 30 June 2025	5	2,387	(6,446)	9	(3,861)	10,866	2,960	1	2,961

PJSC “POLYUS”

PUBLISHED INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

	Notes	Six months ended 30 June	
		2025	2024
Operating activities			
Profit for the period		2,018	1,583
Adjustments for:			
Income tax expense		669	376
Finance costs	9	397	305
Interest income		(105)	(71)
Gain on disposal of discontinued operations		-	(141)
Gain on revaluation of derivative financial instruments and investments	10	(217)	(99)
Depreciation and amortisation		243	215
Foreign exchange gain		(552)	(203)
Other		41	20
		2,494	1,985
Movements in working capital			
Inventories		(140)	(208)
Deferred expenditure		(1)	(14)
Trade and other receivables		925	42
Advances paid to suppliers and prepaid expenses		3	(22)
Taxes receivable		2	(9)
Trade and other payables		49	(17)
Taxes other than income tax payable		1	3
		3,333	1,760
Cash flows from operations		3,333	1,760
Income tax paid		(537)	(209)
Net cash generated by operating activities		2,796	1,551
Investing activities			
Purchase of property, plant and equipment and intangible assets		(1,126)	(579)
Interest received		69	66
Loans issued		(19)	(40)
Proceeds on disposal of subsidiaries, net of cash disposed		25	237
Proceeds from repayment of loans receivable		116	-
Increase in bank deposits		(234)	-
Proceeds from redemption of bank deposits		100	-
Other		(29)	4
		(1,098)	(312)
Net cash utilised in investing activities		(1,098)	(312)
Financing activities			
Proceeds from borrowings		3	588
Repayment of borrowings		(24)	(343)
Interest paid		(443)	(288)
Commissions paid on borrowings		-	(8)
Payments of lease liability		(10)	(8)
Net proceeds on exchange of interest payments under cross currency swaps	9	62	20
Proceeds from termination of cross-currency swaps	18	185	-
Proceeds / (payments) on expiration of cross-currency swaps	18	10	(248)
Dividends paid to shareholders of the Company	16	(862)	-
Dividends paid to shareholders of non-controlling interests		(1)	-
Cash used to increase of ownership in subsidiaries		-	(3)
		(1,080)	(290)
Net cash utilised in financing activities		(1,080)	(290)
Net increase in cash and cash equivalents		618	949
Cash and cash equivalents at the beginning of the period	15	1,577	1,711
Effect of foreign exchange rate changes on cash and cash equivalents		124	(68)
Cash and cash equivalents at the end of the period	15	2,319	2,592

PJSC “POLYUS”

NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) *(in millions of US Dollars)*

1. GENERAL

Public Joint Stock Company Polyus (the “Company” or “Polyus”) was incorporated in Moscow, Russian Federation, on 17 March 2006.

The principal activities of the Company and its controlled entities (the “group”) are the extraction, refining and sale of gold. The mining and processing facilities of the group are located in the Krasnoyarsk, Irkutsk, Magadan regions and the Sakha Republic of the Russian Federation. The group also performs research and exploration works. Further details regarding the nature of the business of the significant subsidiaries of the group are presented in Note 24.

The shares of the Company are “level one” listed on the Moscow Exchange.

2. BASIS OF PREPARATION AND PRESENTATION

2.1. Going concern

In assessing the appropriateness of the going concern assumption, Management has taken account of the group's financial position, expected future trading performance, its borrowings, available credit facilities and its capital expenditure commitments, expectations of the future gold price, currency exchange rates and other risks facing the group. After making appropriate enquiries, Management considers that the group has adequate resources to continue in operational existence for at least the next 12 months from the date of signing these published interim condensed consolidated financial statements and that it is appropriate to adopt the going concern basis in preparing these published interim condensed consolidated financial statements.

2.2. Basis of preparation of published interim condensed consolidated financial statements

These published interim condensed consolidated financial statements have been prepared by Management based on the consolidated financial statements as of and for the six month ended 30 June 2025 prepared in accordance with International Accounting Standard 34 Interim Financial Reporting (“IAS 34”) by excluding information in accordance with Decree of the Government of the Russian Federation dated 4 July 2023 № 1102 “On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law “On Joint Stock Companies” and the Federal Law “On the Securities Market”.

The purpose of these published interim condensed consolidated financial statements is to present consolidated financial position and consolidated financial results of the group excluding information, disclosure of which, in the opinion of the Management, could lead to imposition of additional sanctions by foreign states, national unions and (or) associates, state-owned (interstate) institutions of foreign states or of national unions and (or) associates targeting the group and (or) other persons. Therefore, these published interim condensed consolidated financial statements are not prepared in accordance with IAS 34 and do not replace interim condensed consolidated financial statements prepared in accordance with IAS 34 as far as do not contain all information which is required to be disclosed in accordance with IAS 34 and may not be suitable for any other purposes.

2.3. Basis of accounting

The entities of the group maintain their accounting records in accordance with the laws, accounting and reporting regulations of the jurisdiction in which they are incorporated and registered. The accounting principles and financial reporting procedures in these jurisdictions may differ substantially from those generally accepted under International Financial Reporting Standards (“IFRS”). Accordingly, such financial information has been adjusted to ensure that the published interim condensed consolidated financial statements are presented in accordance with the basis described above and accounting policies which are based on the principles of IAS 34, taking into account standards and amendments which were effective as at 1 January 2024.

The published interim condensed consolidated financial statements of the group are prepared on the historical cost basis, except for derivative financial instruments, gold bonds and certain trade receivables, which are accounted for at fair value.

**NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED)**
(in millions of US Dollars)

2.4. IFRS standards and amendments first time applied in 2025

The following amended IFRS standard that has been applied by the group in these published interim condensed consolidated financial statements:

<u>Title</u>	<u>Subject</u>	<u>Effective for annual periods beginning on or after</u>	<u>Effect on the published interim condensed consolidated financial statements</u>
Amendments to IAS 21	Lack of exchangeability	1 January 2025	No effect

2.5. IFRS standards and amendments to be applied after 2025

The following standards and interpretations, which have not been applied in these published interim condensed consolidated financial statements, were in issue but not yet effective:

<u>Title</u>	<u>Subject</u>	<u>Effective for annual periods beginning on or after</u>	<u>Effect on the published interim condensed consolidated financial statements</u>
IFRS 18	Presentation and Disclosure in Financial Statements.	1 January 2027	No effect
IFRS 19	Subsidiaries without Public Accountability: Disclosures	1 January 2027	No effect
Annual improvements in IFRS	IFRS 1, IAS 7, IFRS 7, IFRS 9, IFRS 10	1 January 2026	No effect

3. SIGNIFICANT ACCOUNTING POLICIES

The same accounting policies, presentation and methods of computation have been followed (except new or amended IFRS standards described above) in these published interim condensed consolidated financial statements as were applied in the group’s audited published consolidated financial statements for the year ended 31 December 2024.

IAS 34 requires calculation of income tax benefit/expense for interim reporting periods to be based on the expected annual effective income tax rate. Non-taxable / (non-deductible) gains / (losses) on revaluation of certain *Derivative financial instruments* as well as certain other items of less predictable nature are excluded from determining the expected annual effective income tax rate, which may result in significant variations of effective income tax rate between different interim periods.

The group presents its published interim condensed consolidated financial statements in the US Dollar (“USD”), as Management believes it is a more convenient presentation currency for international users of the published interim condensed consolidated financial statements of the group as it is a common presentation currency in the mining industry. As of 30 June 2025, RUB/ US Dollar exchange rate used in the preparation of the published interim condensed consolidated financial statements was 78.47 (31 December 2024: 101.68).

4. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The critical accounting judgements, estimates and assumptions made by Management of the group and applied in the accompanying published interim condensed consolidated financial statements for the six months ended 30 June 2025 are consistent with those applied in the preparation of the published consolidated financial statements of the group for the year ended 31 December 2024.

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NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

5. SEGMENT INFORMATION

The reporting segment's results for the six months ended 30 June were as follows:

Business units	Gold sales		Adjusted EBITDA	
	2025	2024	2025	2024
Olimpiada	1,371	1,283	1,042	1,001
Blagodatnoye	654	505	497	401
Natalka	812	372	631	258
Irkutsk ¹	395	248	288	167
Kuranakh	349	276	230	186
Unallocated	-	-	(12)	8
Total	3,581	2,684	2,676	2,021

Adjusted EBITDA reconciles to the published interim condensed consolidated financial statements as follows:

	Six months ended 30 June	
	2025	2024
Operating profit for the period	2,210	1,754
Depreciation and amortisation	243	214
Equity-settled share-based plans (LTIP) (Note 16)	40	19
Certain items included in <i>Other expenses</i> (special charitable contributions, impairment of property, plant and equipment and loss on disposal of property, plant and equipment and intangible assets)	183	34
Adjusted EBITDA from continuing operations	2,676	2,021

Gold sales

	Six months ended 30 June	
	2025	2024
Refined gold	3,583	2,625
Gold in flotation concentrate	(2)	59
Total gold sales	3,581	2,684

Gold sales represent revenue generated from external customers. There were no inter-segment gold sales during the six months ended 30 June 2025 and 2024.

¹ Irkutsk business unit includes the results of Verninskoye business unit and of pilot processing of Sukhoi Log's ore at Verninskoye Mill

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NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

6. COST OF GOLD SALES

	Six months ended 30 June	
	2025	2024
Mineral extraction tax	363	167
Depreciation and amortisation	249	329
Consumables and spares	165	175
Employee compensation	154	150
Repair and maintenance	91	22
Fuel	66	70
Power	45	34
Other	58	55
Total cost of production	1,191	1,002
Increase in stockpiles, gold-in-process and refined gold inventories	(206)	(281)
Total	985	721

7. SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

	Six months ended 30 June	
	2025	2024
Employee compensation	187	118
Depreciation and amortisation	21	24
Distribution expenses related to gold sales	5	1
Taxes other than mineral extraction tax and income taxes	10	8
Professional services	6	4
Other	26	21
Total	255	176

8. OTHER EXPENSES

	Six months ended 30 June	
	2025	2024
Charitable contributions	179	41
Loss on disposal of property, plant and equipment and intangible assets	4	4
Reversal of impairment of property, plant and equipment	-	(11)
Revaluation gain on trade receivables on flotation concentrate	(50)	(3)
Other	13	6
Total	146	37

9. FINANCE COSTS

	Six months ended 30 June	
	2025	2024
Interest on borrowings	446	317
Interest on lease liabilities	6	5
Unwinding of discounts	7	2
Total costs	459	324
Gain on exchange of interest payments under cross currency swaps	(62)	(20)
Total gain	(62)	(20)
Net finance costs	397	304

PJSC “POLYUS”

NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

10. GAIN ON REVALUATION OF DERIVATIVE FINANCIAL INSTRUMENTS AND INVESTMENTS

	Six months ended 30 June	
	2025	2024
Revaluation gain on cross currency swaps	261	47
Revaluation (loss) / gain on gold bonds	(77)	1
Gain on disposal of subsidiaries	2	41
Other	31	10
Total	217	99

11. INCOME TAX EXPENSE AND DEFERRED TAX ASSETS AND LIABILITIES

Income tax expense from continuing operations was as follows:

	Six months ended 30 June	
	2025	2024
Current tax expense	249	197
Deferred tax expense	420	175
Total income tax expense	669	372

Starting from 2025, the corporate income tax rate in the Russian Federation is 25% (17% regional and 8% federal) (2024: 20% – 17% regional and 3% federal).

	Six months ended 30 June	
	2025	2024
Profit before income tax	2,687	1,822
Income tax at statutory rate applicable to principal entities (25%/20%)	672	364
Effect of the RinVP due to different tax rates (Natalka business unit)	(71)	(13)
Write-off of deferred tax asset on tax loss carried forward	21	21
Tax effect of non-deductible expenses and other permanent differences	47	-
Income tax expense	669	372

Deferred tax is recognised on differences between the carrying amounts of assets and liabilities in the financial statements of the separate legal entities and the corresponding tax bases used in the computation of taxable profit and are accounted for using the balance sheet liability method.

A significant increase in deferred tax expenses in the first half of 2025 was due to income from unrealised exchange rate differences on financial liabilities denominated in foreign currency.

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NOTES TO THE PUBLISHED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE SIX MONTHS ENDED 30 JUNE 2025 (UNAUDITED) (in millions of US Dollars)

12. PROPERTY, PLANT AND EQUIPMENT

	Fixed assets	Stripping activity assets	Capital construction in progress and equipment not installed	Exploration and evaluation assets	Total
Cost	4,525	1,202	1,235	919	7,881
Accumulated depreciation and impairment	(2,314)	(604)	(39)	(25)	(2,982)
Net book value at 31 December 2023	2,211	598	1,196	894	4,899
Additions	2	146	392	49	589
Disposal of subsidiaries	(45)	-	(21)	(23)	(89)
Transfers	395	-	(383)	(12)	-
Disposals	(5)	-	(3)	(1)	(9)
Depreciation charge	(226)	(167)	-	-	(393)
Reversal of impairment / (impairment)	-	-	(9)	20	11
Effect of translation to presentation currency	108	26	55	44	233
Other	18	-	28	(34)	12
Cost	4,930	1,412	1,305	941	8,588
Accumulated depreciation and impairment	(2,472)	(809)	(50)	(4)	(3,335)
Net book value at 30 June 2024	2,458	603	1,255	937	5,253
Cost	4,680	880	1,124	955	7,639
Accumulated depreciation and impairment	(2,213)	(258)	(51)	(6)	(2,528)
Net book value at 31 December 2024	2,467	622	1,073	949	5,111
Additions	3	320	734	185	1,242
Disposal of subsidiaries	(1)	-	(2)	(5)	(8)
Transfers	430	-	(430)	-	-
Disposals	(2)	-	-	-	(2)
Depreciation charge	(315)	(62)	-	-	(377)
Reversal of impairment / (impairment)	-	-	(1)	-	(1)
Effect of translation to presentation currency	744	207	359	292	1,602
Other	5	-	-	-	5
Cost	6,465	1,492	1,796	1,428	11,181
Accumulated depreciation and impairment	(3,134)	(405)	(63)	(7)	(3,609)
Net book value at 30 June 2025	3,331	1,087	1,733	1,421	7,572

As of 30 June 2025, the carrying value of rights-of-use assets were included in fixed assets in the amount of USD 90 million (31 December 2024: USD 74 million).

Capitalised borrowing costs for the six months ended 30 June 2025 amounted to USD 48 million. The capitalisation rate used to determine the amount of borrowing costs was 12.9% per annum for the six months ended 30 June 2025.

In the first half of 2025, the overall increase in capital expenditure was driven by increased investment in maintaining and expanding production capacity in most of the Group's business units.

The increase in the of the stripping activity assets is due to the planned increase in stripping in the structure of rock mass production, as well as an increase in the total volume of rock mass production due to the expansion of mining equipment fleets.

The increase of exploration and evaluation assets is related to active stage of development of the most perspective fields Sukhoi Log and Chulbatkan.

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13. INVENTORIES

	30 Jun. 2025	31 Dec. 2024
Stockpiles	1,465	1,096
Gold-in-process	97	67
Inventories expected to be used after 12 months	1,562	1,163
Stockpiles	388	274
Gold-in-process	189	128
Silver	7	1
Refined gold	127	3
Materials and supplies	497	400
Less: obsolescence provision for materials and supplies	(31)	(25)
Inventories expected to be used in the next 12 months	1,177	781
Total	2,739	1,944

The carrying value of long-term stockpiles was as follows:

	30 Jun. 2025	31 Dec. 2024
Olimpiada	391	334
Blagodatnoye	367	284
Nataika	356	236
Verninskoye	129	91
Kuranakh	100	70
Titimukhta	39	31
Other long-term ore	83	50
Total long-term stockpiles	1,465	1,096

As of 30 June 2025, the group recognised the write-down of long-term stockpiles to net realisable value in the amount of USD 191 million, including USD 185 million – for the Nataika field, and USD 6 million – for the Sukhoi Log field (31 December 2024: USD 148 million, including USD 143 million – for the Nataika field, and USD 5 million – for the Sukhoi Log field).

14. RECEIVABLES

	30 Jun. 2025	31 Dec. 2024
Trade receivables for refined gold	84	475
Trade receivables for gold-bearing products	-	515
Interest receivable	62	20
Other receivables	255	176
Less: expected credit losses for other receivables	(17)	(8)
Total trade and other receivables	384	1,178
Reimbursable value added tax	198	162
Other prepaid taxes	3	1
Total taxes receivable	201	163

As of 30 June 2025, *Advances paid to suppliers and prepaid expenses* included advances for materials and supplies in the amount of USD 90 million (31 December 2024: USD 78 million) and advances for services in the amount of USD 42 million (31 December 2024: USD 33 million).

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15. CASH AND CASH EQUIVALENTS

	30 Jun. 2025	31 Dec. 2024
Current RUB accounts	34	70
Current accounts in other currencies	328	293
Bank deposits denominated in RUB	27	215
Bank deposits denominated in other currencies (primarily CNY)	1,930	999
Total	2,319	1,577

The weighted average interest rate on bank deposits as of 30 June 2025 was 3.62% (31 December 2024: 9.94%).

Bank deposits within *Current assets*

During the first half of 2025, the group opened bank deposits in the total amount of CNY 1,710 million (USD 234 million) and redeemed bank deposits in the total amount of CNY 710 million (USD 100 million). Remaining part of these bank deposits have maturity date in August 2025.

16. SHARE CAPITAL AND RESERVES

On 3 February 2025, the Extraordinary General Meeting of Shareholders approved the decision to split the Company's shares at a ratio of 10 (ten). On 25 March 2025, the Registrar JSC “IRC — R.O.S.T.”, which holds the register of security holders of the Company, carried out operations on split of ordinary shares of PJSC Polyus with the ratio of 10 (ten). As a result of these operations each ordinary share of the Company with a par value of 1 ruble was converted into 10 shares of the same category with a par value of 0.1 ruble. Number of outstanding ordinary shares of the Company were 949,217 thousand at par value of RUB 0.1 each as of 30 June 2025 (31 December 2024: 94,922 thousand at par value of RUB 1 each). Due to operations on split of ordinary shares, the weighted average number of shares was adjusted for the six months ended 30 June 2024 in the table below.

Equity-settled share-based compensation (long-term incentive plan)

PJSC Polyus grants long-term incentive awards according to which the members of management of the group are entitled to a conditional award in the form of PJSC Polyus' ordinary shares, which vest upon achievement of financial and non-financial performance targets on expiry of performance periods. Expenses arising from the LTIP are recognised in the published interim condensed consolidated statement of profit or loss within *Selling, general and administrative expenses*.

Dividends

The declared dividends for the six months ended 30 June 2025 were as follows:

	Declaration by Shareholders of the Company date	Per share, RUB	Total ²	Total on treasury shares
In respect of the financial year 2024	14 April 2025	73	1,182	357
Total dividends declared			1,182	357

During the six months ended 30 June 2025, total amount of dividends paid in cash to the shareholders was USD 862 million (at the CBR currency exchange rate at the date of payment).

No dividends have been declared and paid during six months ended 30 June 2024.

² Total amount is an USD equivalent at the CBR currency exchange rate as of the declaration by Shareholders of the Company date and includes dividends on treasury shares owned by the subsidiary of the Company.

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Weighted average number of ordinary shares

The weighted average number of ordinary shares used in the calculation of basic and diluted earnings per share (“EPS”) is as follows (in thousands of shares):

	Six months ended 30 June		
	Adjusted for split		Not adjusted for split
	2025	2024	2024
Weighted average number of ordinary shares in issue – basic EPS	949,217	947,013	94,701
Dilutive effect of potentially issuable shares under LTIP	2,771	3,002	300
Weighted average number of ordinary shares in issue – diluted EPS	951,988	950,015	95,001
Profit after tax attributable to the shareholders of the Company for basic and diluted EPS from continuing and discontinued operations calculation (million USD)	2,018	1,585	1,585
Basic EPS from continuing and discontinued operations (US Dollar per share)	2.13	1.67	16.74
Diluted EPS from continuing and discontinued operations (US Dollar per share)	2.12	1.67	16.68
Profit after tax attributable to the shareholders of the Company for basic and diluted EPS from continuing operations calculation (million USD)	2,018	1,452	1,452
Basic EPS from continuing operations (US Dollar per share)	2.13	1.53	15.33
Diluted EPS from continuing operations (US Dollar per share)	2.12	1.53	15.28

17. BORROWINGS

As of 30 June 2025, borrowings were as follows:

	Currency	30 Jun. 2025	31 Dec. 2024
Yuan-denominated bonds due in 2027 with interest rate 3.8%	CNY	641	607
USD-denominated bonds	USD	813	812
Notes due in 2028 with interest rate 10.4%	RUB	254	196
Notes due in 2029 with noteholders' early repayment option in 2025 with interest rate Central bank rate + 1.2%	RUB	12	9
Gold bonds due in 2029 with interest rate 3.1%	-	317	183
Credit facilities	RUB / CNY	7,762	6,760
Lease liabilities	RUB	111	86
Sub-total		9,910	8,653
Less: current portion of long-term borrowings due within 12 months		(126)	(116)
Long-term borrowings		9,784	8,537

As of 30 June 2025, borrowings interest rates were as follows:

	30 Jun. 2025	31 Dec. 2024
Fixed interest rate	6,456	5,981
Variable interest rate	3,454	2,672
Total	9,910	8,653

The weighted average interest rate on credit facilities with financial institutions as of 30 June 2025 was 11.65% (31 December 2024: 11.20%). The weighted average interest rate on lease liabilities as of 30 June 2025 was 11.93% (31 December 2024: 10.86%).

Unused credit facilities

As of 30 June 2025 the group has unused credit facilities in the total amount of USD 2,356 million (31 December 2024: USD 1,819 million).

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Other matters

There were a number of financial covenants under several loan agreements in effect as of 30 June 2025 according to which the respective subsidiaries of the Company and the Company itself are limited in their level of leverage and other financial and non-financial parameters.

As of 30 June 2025 the group was in compliance with all financial and non-financial covenants.

18. DERIVATIVE FINANCIAL INSTRUMENTS AND INVESTMENTS

As of 30 June 2025, derivative financial instruments and investments were as follows:

	30 June 2025			31 December 2024		
	Non-Current	Current	Total	Non-Current	Current	Total
Cross currency swaps	-	-	-	-	13	13
Loans receivable	3	33	36	29	50	79
Total derivative financial assets and investments	3	33	36	29	63	92
Cross currency swaps	14	-	14	51	51	102
Total derivative financial liabilities	14	-	14	51	51	102

Cross currency swaps

During the first half of 2025, the group terminated in advance of maturity five cross currency swaps in full amount and two cross currency swaps closed due to their expiration. Net cash inflow related to proceeds on termination of cross currency swaps in advance amounted to USD 185 million and related to payments on expiration of cross currency swaps amounted to USD 10 million respectively. The following terms were in place as of 30 June 2025:

Expiration date	Payment currency	Nominal	Group receives (RUB million)	Interest payments
		Group pays (currency million)		Frequency
February 2028	CNY	1,842	20,000	semi-annually

The following terms were in place as of 31 December 2024:

Expiration date	Payment currency	Nominal	Group receives (RUB million)	Interest payments
		Group pays (currency million)		Frequency
March 2025	USD	125	8,169	quarterly
April 2025	AED	551	14,111	quarterly
May 2025	USD	150	13,537	quarterly
July 2025	USD	150	13,406	quarterly
October 2025	CNY	3,500	46,349	quarterly
October 2025	CNY	1,050	14,276	quarterly
December 2025	CNY	2,500	33,658	quarterly
February 2028	CNY	1,842	20,000	semi-annually

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19. PAYABLES

	30 Jun. 2025	31 Dec. 2024
Trade payables	106	92
Capital expenditures payables	162	126
Employee compensation payable	75	20
Interest payable	127	106
Accrued annual leave	35	20
Dividends payable	137	128
Other accounts payable and accrued expenses	48	34
Total trade and other payables	690	526
Social taxes	25	27
Value added tax	41	38
Mineral extraction tax	70	51
Property tax	5	4
Other taxes	13	6
Total taxes other than income tax payable	154	126

20. RELATED PARTIES

Compensation of the key management personnel for the six months ended 30 June 2025, is disclosed in the table below. Other information of related parties is not disclosed in accordance with Decree of the Government of the Russian Federation dated 4 July 2023 № 1102 “On specific aspects of disclosure and (or) provision of information, subject to disclosure and (or) provision in accordance with the requirements of the Federal Law “On Joint Stock Companies” and the Federal Law “On the Securities Market”.

Key management personnel

	Six months ended 30 June	
	2025	2024
Equity-settled share-based compensation (LTIP)	27	16
Short-term compensation to key management personnel accrued	42	12
Total	69	28

21. COMMITMENTS

The land in the Russian Federation on which the group’s production facilities are located is owned by the state. The group leases this land through lease agreements, which expire in various years through to 2065. Future lease payments due under lease agreements not included in property, plant and equipment line were as follows:

	30 Jun. 2025	31 Dec. 2024
Due within one year	13	7
From one to five years	33	24
Thereafter	57	42
Total	103	73

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The group's contracted capital expenditure commitments are as follows:

	30 Jun. 2025	31 Dec. 2024
Projects in Krasnoyarsk	302	328
Project Kuranakh	339	287
Project Sukhoi Log	506	209
Project Nataika	45	99
Project Verninskoye	51	36
Other capital commitments	212	136
Total	1,455	1,095

22. OPERATING ENVIRONMENT

Emerging markets such as Russia are subject to different risks than more developed markets, including economic, political and social, and legal and legislative risks. Laws and regulations affecting businesses in Russia continue to change rapidly, tax and regulatory frameworks are subject to varying interpretations. The future economic direction of Russia is heavily influenced by geopolitical factors, political environment in the country, the fiscal and monetary policies adopted by the government, together with developments in the legal and regulatory environment. Because Russia produces and exports large volumes of oil and gas, its economy is particularly sensitive to the price of oil and gas on the world market.

In 2022, the Russian Federation was subject to international restrictions (sanctions) imposed by a number of countries, including the United States, the United Kingdom, the European Union against public authorities, officials, businessmen and companies. This resulted in reduced access of the Russian businesses to international capital, import and export markets, decline in capitals markets and other adverse economic consequences. On 21 July 2022 in addition to previously imposed restrictions, among other countries, the EU and UK banned the import of gold produced in Russia. On 16 December 2022 the EU banned investments in the Russian mining industry and the supply of various equipment, including industrial. Amidst ongoing events, the group took all actions necessary to adapt to changing environment, including searching of new suppliers, transfer of cash and cash equivalents to non-sanctioned banks and other. There is a risk of future extensions of sanctions.

On 19 May 2023 the Department of the Treasury's Office of Foreign Assets Control ("OFAC") published a document imposing sanctions targeting the Company, certain members of management and several subsidiaries. According to General License issued by OFAC, inter alia the equity and debt holders of the Company had to wind down their operations involving the Company until 17 August 2023. The UK and Australia also announced sanctions against the Company on 19 May 2023. The group considers all sanctions imposed on the Company as unjustified. The Company examines on continuing basis the relevant authorities' decisions and the prospect of opposing the sanctions by all legal means.

The group takes necessary actions to maintaining its operations as normal, delivering on operational goals and proceeding with organic development of its asset portfolio. Although the group continues transition to alternative suppliers, full replacement of suppliers who left the Russian market may take a considerable time and involves additional costs and rescheduling of certain investment projects and capital commitments.

There is still a high level of uncertainty regarding the impact of possible subsequent changes in the economic situation and the imposed sanctions on future operations and financial position of the group.

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23. FAIR VALUE OF FINANCIAL INSTRUMENTS

The carrying value of cash and cash equivalents, current trade and other receivables and accounts payable approximate their fair value given the short-term nature of these instruments. Non-current receivables are discounted at discount rates derived from observable market input data (Level 2 of the fair value hierarchy in accordance with IFRS 13). Trade receivables for gold-bearing products are carried at fair value through profit or loss (Level 2 of the fair value hierarchy in accordance with IFRS 13).

The fair value of cross-currency swaps is determined using a discounted cash flow valuation technique and is based on inputs (spot currency exchange rates, USD, CNY and RUB interest rates), which are observable in the market and are classified as Level 2 of the fair value hierarchy in accordance with IFRS 13.

Gold bonds are carried at fair value through profit or loss. Changes in the fair value of the gold bonds are recognised within *Loss on revaluation of derivative financial instruments and investments* of the published interim condensed consolidated statement of profit or loss. The fair value of gold bonds is determined using a discounted cash flow valuation technique and is based on inputs (currency exchange rates, USD interest rates, gold prices and inflation rates), which are observable in the market and are classified as Level 2 of the fair value hierarchy in accordance with IFRS 13.

Borrowings, except gold bonds, are carried at amortised cost. The fair value of the group's borrowings excluding lease liabilities and gold bonds is estimated as follows:

	30 June 2025		31 December 2024	
	Carrying amount	Fair value	Carrying amount	Fair value
Credit facilities (Level 2)	7,762	7,818	6,760	6,421
USD-denominated bonds (Level 1) / (Level 2)	813	752	812	680
Yuan-denominated bonds (Level 1)	641	621	607	532
Rouble-denominated bonds (Level 1)	266	241	205	177
Total	9,482	9,432	8,384	7,810

The fair value of credit facilities (Level 2 of fair value hierarchy) was determined as the present value of future cash flows (principal and interest), discounted at the market interest rates, which are determined as of the reporting date based on the currency of credit facilities, its expected maturity and credit risks attributable to the group.

The fair value of the Eurobonds regarding replacement bonds (Level 1 of fair value hierarchy) was determined as their market price at the reporting date. The fair value of the remaining Eurobonds (Level 2 of fair value hierarchy) was determined as the present value of future cash flows (principal and interest), discounted at the market interest rates, which are determined as of the reporting date based on the currency of credit facilities, its expected maturity and credit risks attributable to the group.

The fair value of the Rouble-denominated bonds, Yuan-denominated bonds and USD-denominated bonds with payments in RUB (Level 1 of fair value hierarchy) was determined as their market price at the reporting date.

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24. INVESTMENTS IN SIGNIFICANT SUBSIDIARIES

Subsidiaries	Nature of business	Effective % held at ³	
		30 Jun. 2025	31 Dec. 2024
Information excluded in accordance with the basis of preparation described in Note 2.2	Mining (including initial processing) and sale of gold	100	100
Information excluded in accordance with the basis of preparation described in Note 2.2	Mining (including initial processing) and sale of gold	100	100
Information excluded in accordance with the basis of preparation described in Note 2.2	Primary processing of mineral raw materials from Sukhoi Log deposit within the scope of pilot mineral processing,	100	100
Information excluded in accordance with the basis of preparation described in Note 2.2	Mining (including initial processing) and sale of gold	100	100
Information excluded in accordance with the basis of preparation described in Note 2.2	Mining (including initial processing) and sale of gold within the scope of pilot mineral processing of the Sukhoi Log deposit, exploration and evaluation of the Sukhoi Log deposit	100	100

25. EVENTS AFTER THE REPORTING DATE

The group has evaluated subsequent events through 27 August 2025, the date on which these published interim condensed consolidated financial statements were approved.

There were no events subsequent to the reporting date that would adjust amounts of assets, liabilities, income or expenses or that should be disclosed in these published interim condensed consolidated financial statements.

³ Effective % held by the Company, including holdings by other subsidiaries of the group.